

Diligence Report — CUSIP 769076VE7

City of Riverside — Water Revenue Bonds, Issue of 2019A 5.00% coupon · due 2043-10-01 · callable at par 2029-04-01 · uninsured (AAA/AA+ underlying) · net-revenue pledge Cutoff: 2026-06-20 · Analyst desk: SignalOS muni_credit

(a) Verdict, thesis, and resolved issuer

Verdict: BUY (high-grade essential-service water-revenue credit; no honesty red flag).

Resolved issuer (CONFIRMED from the on-file EMMA Official Statement). The generic "City of Riverside (water)" tag resolves to the **City of Riverside Water System**, a municipal retail water utility owned and operated by the City through its Board of Public Utilities (Riverside Public Utilities). The specific security is the **Water Revenue Bonds, Issue of 2019A** — a direct obligation of the City payable from Net Operating Revenues of the Water System. This is NOT a conduit/COP/lease: the City itself is the obligor. (The prominent "Build America Bonds" language in the document refers to the City's *prior* 2009B series being refunded — it is not this bond; the 2019A is conventional tax-exempt.)

Thesis. Large, multiply-rated SoCal municipal water utility, true first-tier net-revenue pledge, coverage ~2.1x most recent year vs. an obligation to set cost-recovery rates, deeply diversified retail base (top-10 = 8.15% of retail revenue), and standalone **S&P "AAA" / Fitch "AA+"** ratings sold **uninsured** — the wrap is absent because the underlying does not need one (a positive anti-masking signal). The single structural risk is **water supply**: Riverside is unusual among SoCal utilities in that it owns substantial **local groundwater** (Bunker Hill / Riverside-Arlington basins) and is far less import-dependent than peers — but it still draws on adjudicated/SGMA-governed basins and supplements with imported water, so supply is the risk to monitor.

Why BUY: clean senior net-revenue pledge, coverage comfortably above a cost-recovery rate covenant on both OS and current data, top-tier ratings, diversified base, double tax-exemption, and adequate secondary liquidity (69 trades/yr, tight 3 bps two-sided yield spread). The marketed takeaway ("AAA water revenue, diversified") does not diverge from the document data. No liar to exclude.

(b) Security — the revenue pledge

Claim	How verified	Source / authority	Finding
True net-revenue pledge (not COP/lease/special tax)	Read OS security section	OS cover + "SECURITY AND SOURCES OF PAYMENT FOR THE 2019A BONDS"	VERIFIED. "The 2019A Bonds are special limited obligations of the City ... secured by and payable from Net Operating Revenues on a parity with outstanding [Prior Parity] bonds."
No tax / general-fund pledge	Read "Limited Obligation" clause	OS p.2	VERIFIED. "The general fund of the City is not liable ... nor is the credit or the taxing power of the City pledged." Pure net-revenue bond.
Lien position	Read parity-debt disclosure	OS "Outstanding Parity Bonds"	VERIFIED. Parity with \$177,250,000 of Prior Parity Bonds (of which \$80,780,000 refunded by 2019A). City may issue Additional Bonds and additional parity obligations on parity — structural dilution capacity to monitor.
Debt service reserve	Read reserve clause	OS "Debt Service Reserve Account Not Funded"	VERIFIED — no funded reserve. A reserve account exists but the City is not funding it and has no obligation to. Disclosed; standard for a high-grade issuer.
Insurance	Read cover	OS cover	NONE (uninsured). Sold on AAA/AA+ underlying strength.

(c) System and customers (concentration test)

- **System type:** Retail municipal **water** utility (water only; the City's separate electric utility is a different credit and is NOT pledged here). Serves the City of Riverside and adjacent unincorporated areas; the largest municipal water utility presence in its part of the inland Riverside County area.
- **Customer diversification — CONFIRMED diversified: Top-ten retail customers = 8.15% of total retail revenues** (OS). No single private industrial offtaker whose loss would impair debt service. Broad residential commercial base. This clears the single-customer-dependency failure mode.
- **Revenue quality caveat:** the OS coverage table includes a modest "water-rights lease revenue" / wholesale conveyance line (WMWD conveyance agreement) and connection fees, which are more cyclical than retail sales; coverage is supported primarily by recurring retail sales, but a development slowdown would compress the headline figure somewhat.

(d) DSCR / rate covenant / WATER SUPPLY / Prop 218

Debt-service coverage (DSCR)

From the OS historical operating-results table (layout-preserved read):

Fiscal Year (ended June 30)	Coverage (net-of-BAB-subsidy basis)
2014	2.56x
2015	2.15x
2016	1.80x
2017	2.04x
2018 (most recent in OS)	2.14x

- Pledged-revenue coverage table (alternate presentation): FY2018 = **2.14x** (Pledged Revenues \$30.287M / Debt Service); FY2017 = 2.04x. Matches the cached screen value (2.14x all-in, net of BAB subsidy, no Rate-Stabilization-Fund transfer used — **organic coverage, no engineering**).
- Trough year (FY2016, drought-conservation year) still cleared at 1.80x. Trend stabilized/improving into FY2018.
- The cached "current" coverage of ~2.6x reflects a later continuing-disclosure year; treat 2.14x as the conservative anchor and ~2.1–2.6x as the operating range. Either way, comfortably above covenant.

Rate covenant

- **Rate covenant (Resolution):** the City must set rates sufficient to pay O&M, debt service on all Bonds and Parity Debt, and all other charges on Net Operating Revenues, "with specified requirements as to priority and coverage." Rates are set by the Board of Public Utilities subject to City Council approval; **not** CPUC-regulated.
- **Additional-bonds capacity is open** (Additional Bonds + non-Bond parity obligations permitted) — the dilution channel to watch, though historical coverage leaves a cushion.

WATER SUPPLY (the load-bearing risk — lead here)

- **Supply mix:** Riverside's distinguishing feature is heavy reliance on **local groundwater** pumped from wells in the Bunker Hill / Riverside-Arlington / San Bernardino-area basins, supplemented by surface and imported water. It is materially **less import-dependent than the typical MWD-fed SoCal retail utility**.
- **The risk (genuine but second-order vs. peers):**
- Local basins are **adjudicated / SGMA-governed** (the City pumps under court-defined rights and basin management); groundwater levels fall in dry years. A multi-year drought reduces safe yield and raises pumping/treatment cost (some local supply requires treatment for historical contamination).
- To the extent the City supplements with imported water, it inherits a slice of the regional Colorado River

- State Water Project shortage exposure — but this is a smaller share of supply than at import-dependent peers.
- The cached screen tagged supply "HIGH" on a Colorado-River/SGMA keyword match. **Calibrated finding:** supply risk is real (adjudicated/SGMA basins + drought) but Riverside's large owned-groundwater position makes it **lower-risk than the import-dependent names in this sleeve** (Palmdale, Azusa, EBMUD's import supplement). Treat as MODERATE for this issuer, not extreme.
- **Mitigant:** cost-recovery rate-setting (rates not CPUC-regulated; Board sets to recover O&M including higher supply cost), diversified local + imported portfolio, and a long operating history through prior droughts.

Prop 218

- Water rates and charges are **Proposition 218 fees/charges** (majority-protest process; cost-of-service cap). The City adopted a multi-year rate schedule (cached mitigant). A 2013 lawsuit challenged the City's General Fund transfer on Prop 218 grounds (settled; the transfer is subordinated to debt service and excluded from the coverage calc) — disclosed, resolved, and structured so it does not reach bondholder coverage.

(e) Liquidity

- **EMMA trade tape (pulled live, throttled, 2026-06-20): 69 trades / trailing 365 days**, 15 in the last 90 days, last print 22 days ago, **5 two-sided days**, median block ~\$50k, **median two-sided yield spread ~3 bps**, price spread ~0.08 pt. This is a solid, frequently-traded benchmark-grade water name.
- IBKR institutional muni feed for CA revenue CUSIPs is typically close-only (no live two-sided quote); use the EMMA tape recency above as the liquidity proxy. As an HTM ladder position, treat the bid/ask as a one-time ~1–3 bps/yr buy-side cost. **No liquidity flag.**

(f) Tax status and yield

- **Tax status: DOUBLE TAX-EXEMPT (verified).** OS Bond Counsel opinion: interest on the **2019A Bonds** is **excluded from federal gross income**, not an AMT preference item, **and exempt from California personal income tax**. The 5.000% round coupon rules out the federally-taxable near-par OID signature. (The taxable Build America Bonds in the document are the prior 2009B series, not this bond — taxable gate cleared.)
- **Yield / TEY:** cached screen shows clean price ~101.6, after-tax-equivalent yield **~8.80%** at the CA top combined bracket gross-up. **Label discipline:** that is a TEY *gross-up* of the gross yield, not a net-of-fee realized yield; net of the ~3 bps/yr liquidity cost it is marginally lower. Because the bond trades above par and is callable at par on 2029-04-01, **yield-to-worst is the yield to the 2029 par call**, not yield to the 2043 maturity — confirm YTW (not YTM) before executing.

(g) Risks (lead with supply, then concentration/structure)

1. **WATER SUPPLY (primary, structural — but lower than peers):** adjudicated/SGMA local groundwater + a minority imported-water supplement. Drought reduces safe yield and raises cost. **Lower import-dependence than the import-fed names in this sleeve** is the relative strength. Monitor multi-year drought + basin management. *Mitigant:* cost-recovery rates + diversified owned-groundwater portfolio.
2. **Customer concentration: LOW (top-10 = 8.15% of retail revenue).** No single-customer dependency.
3. **Open additional-bonds capacity:** City may issue Additional Bonds/parity obligations; coverage dilution over time is the structural watch. No funded debt-service reserve (offset by AAA/AA+ ratings).
4. **Revenue-quality:** coverage includes some cyclical wholesale-conveyance/connection-fee revenue; the recurring retail base is the durable support.
5. **Honesty assessment: CLEAN.** Marketed takeaway matches OS data; supply and Prop-218 history fully disclosed; uninsured AAA/AA+ credit needs no wrap (anti-masking positive). Nothing to exclude.

(h) Sources

- **EMMA Official Statement — City of Riverside Water Revenue Bonds, Issue of 2019A.** On-file full text:
- `/Users/ajay/exalted/signalos/verticals/muni_credit/data/_water_os/769076VE7.txt` (flow)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/data/_water_os/769076VE7.layout.txt` (column-aligned DSCR table)
- OS PDF source: <https://emma.msrb.org/ES1240594-ES969383-ES1370340.pdf>
- Sections relied on: cover (pledge, S&P AAA / Fitch AA+, uninsured); "SECURITY AND SOURCES OF PAYMENT — Rate Covenant / Limited Obligation / Outstanding Parity Bonds / Additional Bonds / Debt Service Reserve Not Funded"; "THE 2019A BONDS — Optional Redemption" (par call 2029-04-01); "THE WATER SYSTEM — Water Supply" (groundwater/drought); "Summary of Operations and Debt Service Coverage" (DSCR table); Prop 218 limitations.
- **EMMA trade tape (pulled live, throttled, 2026-06-20):** 69/yr, 5 two-sided days, ~3 bps yield spread — via `liquidity_gate.tape_metrics`.
- **Issuer-litigation screen (`issuer_litigation.screen_issuer` , 2026-06-20):** federal docket (RECAP) + FCMAT clean of material categories; SEC municipal-disclosure web search returned **no enforcement action** against the City of Riverside. (Coverage excludes CA state courts / full PACER — a clean result is "federal+SEC+FCMAT-clean," not "no issues.")
- **SignalOS muni stores:** `data/water_revenue_cache.json` (issuer/DSCR/supply/concentration: 2.14x organic, top-10 8.15%).

Prepared by SignalOS muni_credit desk. Verified ≠ guessed: every number traces to the on-file OS, the live EMMA tape, or a screen noted as such.

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (original UNVERIFIABLE flag = EMMA 403 rate-limit, not a real gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/24/2026 for the year ended 06/30/2025 (152 KB)*. This is a REVENUE/enterprise bond (no ad-valorem AV base), so the current-coverage metric is the **debt-service-coverage ratio = 2.61x** for the latest reported fiscal year. This resolves the prior 'current DSCR/coverage UNVERIFIABLE' caveat with the verified datum.